

The key to investing is not assessing how much an industry is going to affect society, or how much it will grow, but rather determining the competitive advantage of any given company and, above all, the durability of that advantage. The products and services that have wide, sustainable moats around them are the ones that deliver rewards to investors.⁵

—Warren Buffett

With the fixation on running a low-cost operation, Papa Patel is able to charge much less than his competitors and still maintain healthy margins. This leads to higher occupancy on a very perishable commodity that he is peddling—a motel room for tonight. This advantage has an enduring quality to it—one that has lasted several decades. Only when a Patel competes head to head with another Patel is the advantage in jeopardy. But with a large country and a small niche population, Patels are careful not to make their own lives difficult by competing directly with another Patel.

Papa Patel's, Manilal's, and Mittal's moats were created by being the lowest-cost producer. Branson only ventures into a business after he's convinced it has a wide and deep moat. Part of the moat comes from extending his brand, part of it from creating a truly innovative offering, and the rest from brilliant execution.

The IT services business is a recurring revenue business. The relationship with clients and the knowledge of their business and systems is the deep hidden moat in IT services. As a company gets more familiar with a client's business and technology infrastructure, the harder it is to be replaced by a competitor—and those recurring revenues keep pouring in. When speaking to students at the University of Florida, Buffett stated: